The Morning Brief

MAY 31, 2026

Awaiting Signoff

Weekend Edition — Trump's Iran framework remains pending as the Pentagon warns of a restart and IRGC threatens to attack the blockade; ISM Manufacturing Monday, CRDO Monday night, and the May Employment Report Friday frame the week ahead.

S&P 500 (FRI CLOSE)	BRENT (FRI CLOSE)	IRAN FRAMEWORK	BITCOIN (LIVE)	FEAR & GREED
7,580 · +~5% on May	$92.05 · ~↓19% on month	Trump signoff pending	~$73,900 · Range-bound	28 · Fear

SECTION 01

Markets — Week in Review

MAY CLOSES WITH THE S&P'S NINTH CONSECUTIVE WINNING WEEK AND ONE OF THE STRONGEST MONTHS ON RECORD — BUT THE TAPE ENTERS THE WEEKEND CARRYING A BINARY GEOPOLITICAL CATALYST

Per the data drop and CNBC coverage, the S&P 500 proxy closed Friday ↑0.25% to $756.48, the Dow proxy ↑0.74% to $510.78, and the Nasdaq proxy ↑0.37% to $738.31. Per TheStreet, May delivered approximately ↑5% on the S&P with comparable gains on the Nasdaq and Dow, and the index logged its ninth consecutive weekly gain. Friday's session was led by tech and financials on Dell's post-earnings move per CNBC coverage. The Russell 2000 proxy IWM lagged at –0.55% per the data drop, consistent with the prior brief's observation that small-cap participation has remained narrow. Notably, Friday's sector breadth was thin: Tech (XLK ↑2.23%) and Financials (XLF ↑0.60%) were the only two GICS sectors green, with Staples (–1.80%) and Energy (–1.16%) leading the laggards as Iran framework optimism compressed the war-risk premium.

S&P 500 (FRI)	↑0.25% · +~5% on May per TheStreet · 9th straight winning week
DOW (FRI)	↑0.74% · Comparable May gain per TheStreet
BRENT (FRI)	$92.05 close · ~↓19% on month per CNBC
FRI SECTOR BREADTH	Only XLK and XLF green · XLP ↓1.80% laggard
CTRA (FRI)	$32.56 · ↓8.62% · Largest IOWN single-name decline
FED HOLD ODDS (JUNE FOMC)	~97% no-change per prediction markets · FOMC blackout starts June 6
CARSON'S ACTIVE LEVEL	SPY $645.80 support · Untouched (Fri low $754.69)

THE "HOT GROWTH, HOT INFLATION" REGIME HAS NOW BEEN CONFIRMED TWICE IN 48 HOURS — THE RATE PATH IS STRUCTURALLY TIGHTER INTO THE FIRST WARSH-LED FOMC ON JUNE 16–17

Thursday's 3.8% headline PCE per the BEA — the hottest reading in nearly three years per CNBC — was followed Friday by the Chicago Business Barometer surge to 62.7 against a 50.5 consensus per the MNI release, the largest single-month jump since the 2020 pandemic rebound. Prediction markets per CME FedWatch coverage now price approximately 97% odds of a Fed hold at the June 16–17 meeting and the heavy majority of cuts-in-2026 has compressed to near zero. The committee's dividend backbone (ADP, SYK, ABT, GPC, FAST) and AI infrastructure sleeve (LRCX, TSM, MRVL, CRDO, VST, NEE) both sit constructively against this regime: cash-generative defensives that compound through plateaus and secular growth that has historically performed through tightening when end-demand is strong. *Avoid Erosion.*

A market that prints a ninth consecutive winning week alongside the hottest PCE in nearly three years and the largest Chicago PMI surge since the 2020 rebound is a tape that has decoupled from the rate regime and re-anchored to the AI-capex earnings cycle. The committee's positioning sits at the intersection of both stories. **Research Reveals Opportunities.**

Geopolitics

THE 60-DAY FRAMEWORK REMAINS PENDING TRUMP'S SIGNOFF THROUGH THE WEEKEND — PENTAGON WARNS OF A RESTART, IRGC THREATENS TO ATTACK THE BLOCKADE, AND US FORCES DISABLED A GAMBIAN-FLAGGED VESSEL SATURDAY

Per Axios, Bloomberg, CNBC, and CNN coverage, the proposed 60-day memorandum of understanding between the US and Iran remains awaiting President Trump's final approval as of the weekend. The framework as reported includes a 60-day extension of the current ceasefire, unrestricted vessel traffic through the Strait of Hormuz without tolls, Iranian removal of remaining mines within 30 days, and a progressive lifting of the US blockade of Iranian ports. Trump's public conditions per CNBC and CNN coverage include that Iran must agree never to acquire a nuclear weapon and that Hormuz must reopen immediately. Iranian state media per Fars and Al Jazeera coverage has stated that several of Trump's demands — in particular on the unfreezing of Iranian assets and the characterization of Hormuz control — contradict the agreement's text. Defense Secretary Hegseth, per CNN reporting, stated over the weekend that any agreement reached would be acceptable and that the US military stands ready to resume combat in the Gulf if required. Per Reuters reporting, IRGC General Rezaei publicly threatened to attack the blockade if Trump abandoned the negotiations. US Central Command per Reuters confirmed Saturday that US forces disabled a Gambian-flagged vessel attempting to reach an Iranian port by firing a missile into its engine room. Separately, the US issued new Iran-related counter-terrorism sanctions per Reuters. The weekend therefore functions as a binary catalyst: a Trump signoff before Asia opens Sunday evening would extend Friday's framework bid; a breakdown or another strike exchange would reverse the month-long Brent compression.

LEBANON RECORDED MORE THAN 100 STRIKES AND 87 FATALITIES ACROSS THE WEEKEND PER UN REPORTING — THE NORTHERN ISRAEL FRONT REMAINS A SECONDARY BUT MATERIAL CATALYST

Per UN News and Times of Israel live coverage, the Lebanon front saw more than 100 strikes in 24 hours and at least 87 fatalities across the weekend, with UNIFIL observing more than 1,296 projectile trajectories attributed to Israeli forces and 64 attributed to Hezbollah since Friday. The Galilee Medical Center in Nahariya moved operations to underground protected facilities after the IDF Home Front Command tightened guidelines amid intensive Hezbollah rocket and drone fire. Two Hezbollah rockets targeting the Kiryat Shmona area were intercepted per IDF statements. The Lebanon track has historically tracked the broader Iran negotiation as Hezbollah is materially supplied by the IRGC, and the weekend escalation runs against the framework-close narrative without yet breaking it. For the IOWN energy sleeve (CVX, VLO, OKE, CNX, CTRA), the read is unchanged from prior briefs: the sleeve is positioned against constrained capacity and structural rerouting rather than against any single escalation path. Defense exposure (LMT, GD) retains its orthogonal hedge role; per CNBC, Hegseth's weekend remarks on Asian alliance burden-sharing sit consistent with the bottom-up bull case for the defense names regardless of which way Iran resolves.

TRUMP SIGNOFF	Still pending through weekend · No final determination
HEGSETH (WEEKEND)	Ready to restart strikes if no deal per CNN
IRGC (REZAEI)	Threat to attack blockade if Trump betrays negotiations
SATURDAY ACTION	US disabled Gambian-flagged blockade runner per CENTCOM
IRAN PUSHBACK	Fars: Trump demands contradict agreement text
LEBANON (WEEKEND)	100+ strikes · 87 reported fatalities per UN
BRENT (MAY)	$92.05 · ~↓19% on month per CNBC

SECTION 03

On Our Radar

1. Week Ahead — ISM Manufacturing Monday, ADP Wednesday, ISM Services Wednesday, and the May Employment Situation Friday June 5 anchor the next leg of the rate-path read. The Friday Chicago PMI surge to 62.7 (per the MNI release) reset the growth read entering the week; an ISM Manufacturing print in expansionary territory Monday would extend the reacceleration narrative and reinforce the no-cuts base case into the June 16–17 FOMC. Per S&P Global's preliminary release, the broader US manufacturing PMI registered at 55.3 for May. The May Employment Situation Friday at 8:30 AM ET per the BLS calendar is the higher-volatility catalyst — payrolls and average hourly earnings together will determine whether the hot-growth, hot-inflation combination is sustainable or whether a labor-market crack reintroduces the slowdown risk. The FOMC blackout period begins June 6 per Fed convention, putting Friday's release inside an information vacuum into the meeting. *Avoid Erosion.*

2. CRDO reports fiscal Q4 after Monday's close (June 1) — the first IOWN-side test of whether the Dell AI-server momentum translates into supplier-side fundamentals. Per Stocktitan, Yahoo, and Trefis coverage, consensus sits near $1.03 normalized EPS on revenue near $433 million, against the company's prior $425–$435 million Q4 guide. The intra-week tape carried CRDO inside a roughly 7% intraday range Friday ($224.50–$240.81) before closing at $236.03 (↑6.15%) per the data drop, consistent with elevated option-implied volatility into Monday's print. Per SeekingAlpha coverage, CRDO has historically tended to beat consensus estimates over the trailing several quarters. A clean beat with raised forward guide would extend the leadership across MRVL, TEL, and the broader connectivity layer; a guide cut at the elevated multiple would produce an outsized reaction. *Think Like an Owner.*

3. The Iran signoff remains the binary catalyst into Monday's open — the IOWN energy sleeve carries an asymmetric set of outcomes against Brent's May compression. A confirmed Trump signoff before Asia opens Sunday evening would extend Friday's framework bid and further compress the residual war-risk premium across CVX, VLO, OKE, and CNX; the names would still earn the structural cash flows underneath. A breakdown, another strike exchange, or an IRGC strike against the blockade as Rezaei threatened would re-introduce the war premium on a constrained base — Brent has historically reacted 5–10% intraday on this category of news per the prior briefs' observations. Defense (LMT, GD) retains its orthogonal-hedge role through either path. The dollar bid and gold bid (GLD ↑1.05% Friday per the data drop) have shared the framework flow rather than one dominating cleanly, consistent with markets pricing both tails. **The physical world matters.**

4. Carson's active SPY $645.80 support remains untouched as the index extends to fresh records. Friday's SPY intraday low printed $754.69 per the data drop — well above the level. With Fear & Greed improving modestly from 23 last weekend to 28 in today's data drop (still in Fear territory) against a record tape, the divergence between price and sentiment remains structurally wide. Historically, when price and sentiment diverge at this magnitude into a binary geopolitical catalyst, the resolution tends to be sharp in whichever direction the catalyst breaks. The level remains the framework for any sustained downside scenario rather than an actionable near-term marker. *Simplicity Over Complexity.*

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